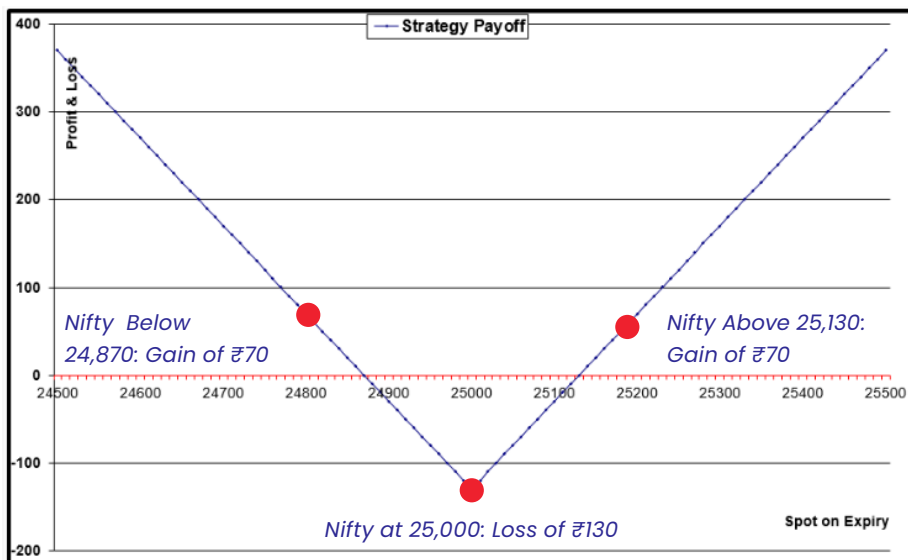


Let us visualise these pay-offs.



5.3.2 Long strangle

Another beneficial strategy for a volatile market is the long strangle. It has a lower cost than long straddle as it involves buying calls and puts at OTM strike prices. However, this strategy is also less likely to succeed. It requires very high volatility for success.

Buy

(at OTM)

**One Call Option
One Put Option**



Less Likely to Succeed, Very High Volatility Requirement



Lower Cost than Long Straddle

Example: Suppose you execute the following strategy.

Particulars	Strike Price	Price
Buy Nifty call	25,100	₹20
Buy Nifty put	24,900	₹40